

WHAT IS A **CANDLESTICK** AND WHAT ARE ITS TYPES?

A Beginner's Guide to
Reading Crypto Price Charts

Beginner Level

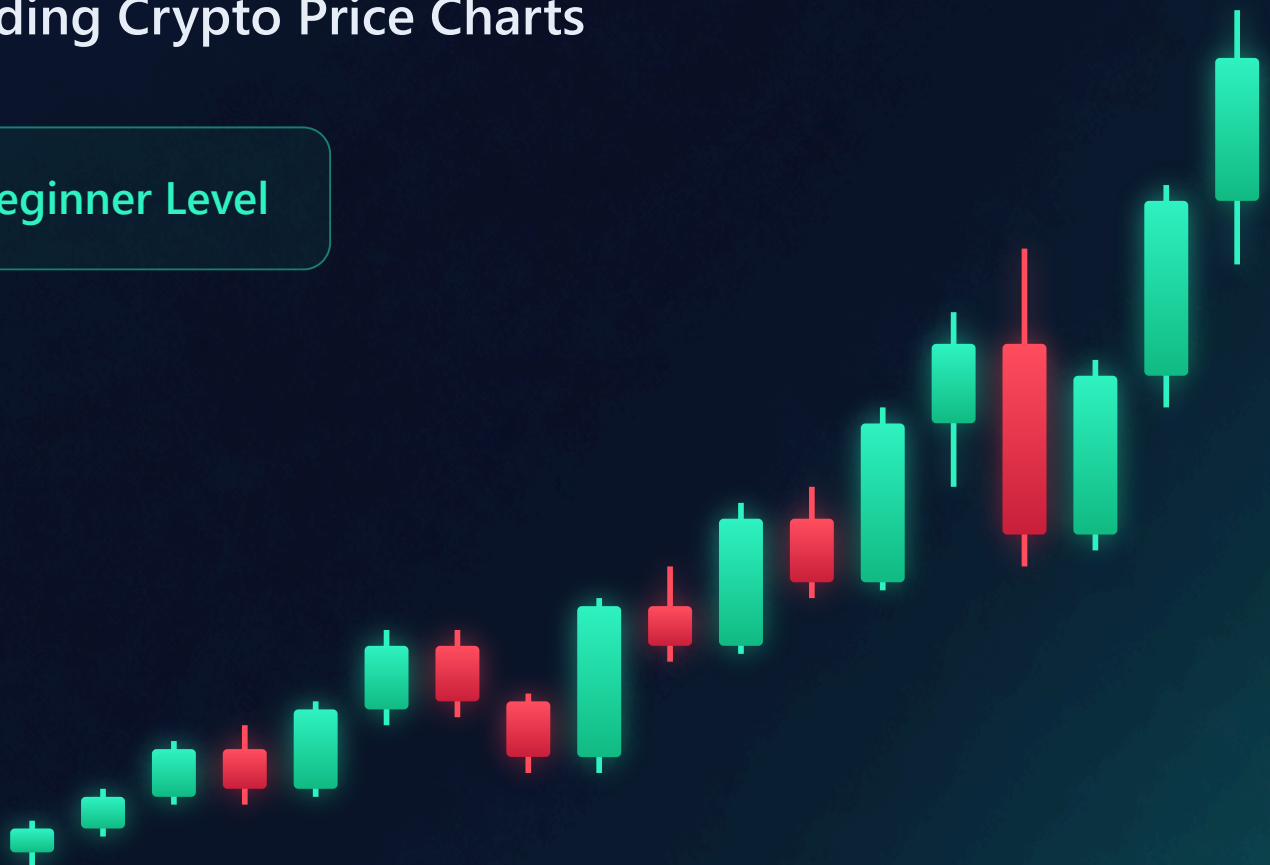


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Who this guide is for

This guide is for people who are new to charts. You do not need any trading experience. By the end, you should be able to look at a candlestick chart, understand what each candle shows, and recognise the most common candlestick types by name.

Candlestick patterns are a tool for reading price behaviour. They do not predict the future and they are not trading signals on their own. We will come back to this point several times, because it is the most important lesson in the guide.

What is a candlestick?

A candlestick is a simple drawing that shows how the price of an asset moved during one period of time.

That period could be one minute, one hour, one day or one week. This is called the **timeframe**. On a daily chart, every candle represents one day of trading. On a 1-hour chart, every candle represents one hour.

Each candle records four prices for its period:

O**Open**

The price when the period started.

H**High**

The highest price reached during the period.

L**Low**

The lowest price reached during the period.

C**Close**

The price when the period ended.

Traders often call these four values **OHLC**. A line chart only shows the closing price. A candlestick shows all four, so you can see the full story of each period at a glance.

A short history

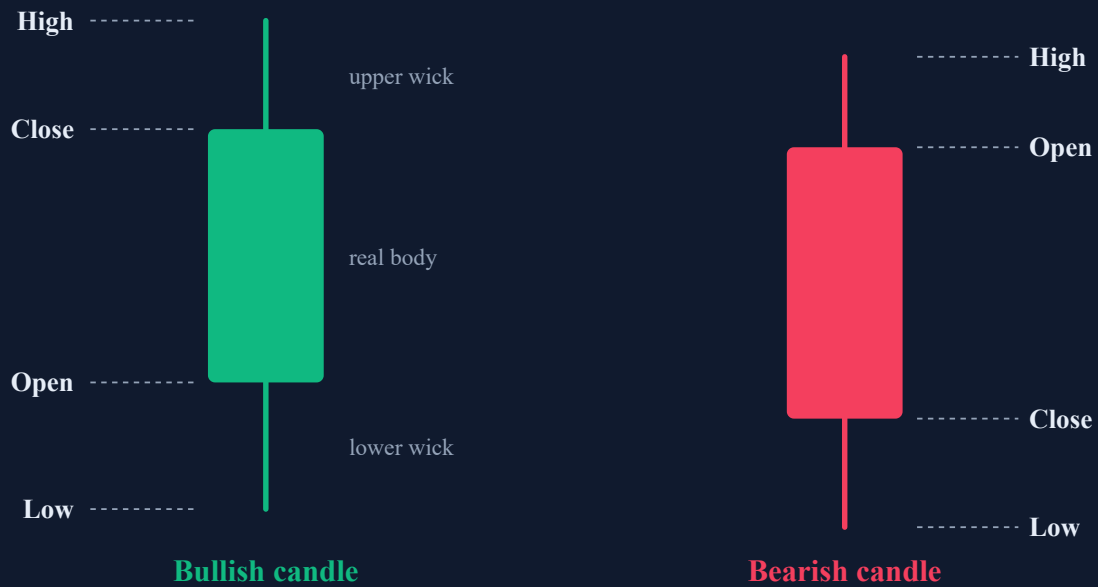
Candlestick charting is usually traced back to rice traders in Japan in the 1700s. A rice merchant named Munehisa Homma is often credited with studying how emotions affected rice prices. The method was introduced to Western traders in 1991 by Steve Nison in his book *Japanese Candlestick Charting Techniques*. Today, candlestick charts are the default chart on almost every crypto exchange and charting platform.

Why candlesticks are useful

A single candle shows direction, how far price travelled, and where it was rejected. A row of candles shows how the balance between buyers and sellers is changing over time.

Anatomy of a candle

Every candle has two parts: the **body** and the **wicks** (also called shadows).



Real body

The thick part. It runs from the open price to the close price. A bigger body means a bigger move between the open and the close.

Upper wick

The thin line above the body. Its tip is the highest price of the period.

Lower wick

The thin line below the body. Its tip is the lowest price of the period.

Notice that the open and close swap places. On a bullish candle, the open is at the bottom of the body and the close is at the top. On a bearish candle, the open is at the top and the close is at the bottom.

Bullish vs bearish candles

The colour of a candle tells you the direction price moved during that period.



Bullish candle

The close is **higher** than the open. Price went up during the period. In this guide, bullish candles are **green**.



Bearish candle

The close is **lower** than the open. Price went down during the period. In this guide, bearish candles are **red**.

Candles together form a trend



A single candle tells you about one period. A series of candles shows the trend. In the chart above, there are some red candles, but each low and each high is generally higher than the last. That is an uptrend.

Colours can be changed

Most platforms use green and red, but some use white and black, or hollow and filled candles. Always check your chart settings. The direction is defined by open and close, not by the colour.

What bodies and wicks tell you

Before learning pattern names, learn to read the shape of a candle. Every named pattern is built from these four ideas.



Long body

Buyers or sellers were firmly in control for the whole period.



Short body

Buyers and sellers were close to balanced. Momentum was weak.



Long upper wick

Price pushed higher, but sellers pushed it back down before the close.



Long lower wick

Price dropped, but buyers pushed it back up before the close.

Think of a candle as a short story

A candle shows a short contest between buyers and sellers. The **body** shows who won by the end of the period. The **wicks** show where one side pushed hard but could not hold the price.

A long wick is often described as **rejection**. A long upper wick means higher prices were rejected. A long lower wick means lower prices were rejected.

A useful habit

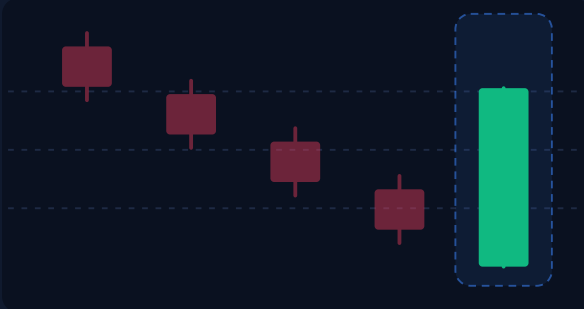
When you look at any candle, ask three questions: Which way did it close? How big is the body compared to recent candles? Where are the long wicks? These three questions will help you more than memorising names.

Basic single candles

These candles describe strength or indecision. The highlighted candle is the pattern; faded candles show the trend before it.

Bullish Marubozu

BULLISH STRENGTH



WHAT IT LOOKS LIKE

A long green body with little or no wick on either side.

WHAT IT MAY SUGGEST

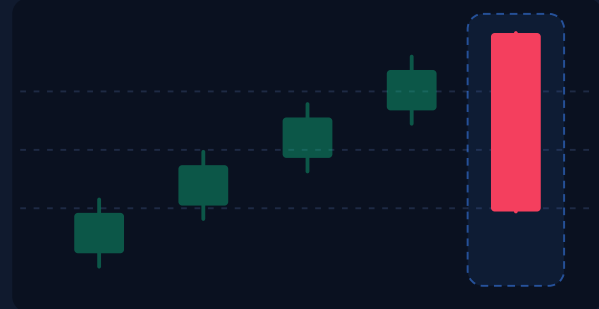
Buyers controlled the whole period, from open to close.

CONFIRMATION TO LOOK FOR

Continued buying in the next candles, especially near a support level.

Bearish Marubozu

BEARISH STRENGTH



WHAT IT LOOKS LIKE

A long red body with little or no wick on either side.

WHAT IT MAY SUGGEST

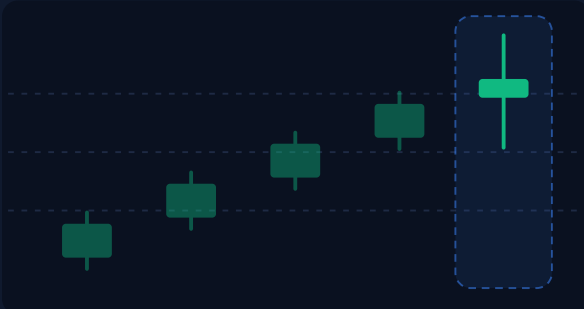
Sellers controlled the whole period, from open to close.

CONFIRMATION TO LOOK FOR

Continued selling in the next candles, especially near a resistance level.

Spinning Top

INDECISION



WHAT IT LOOKS LIKE

A small body in the middle, with upper and lower wicks of similar length.

WHAT IT MAY SUGGEST

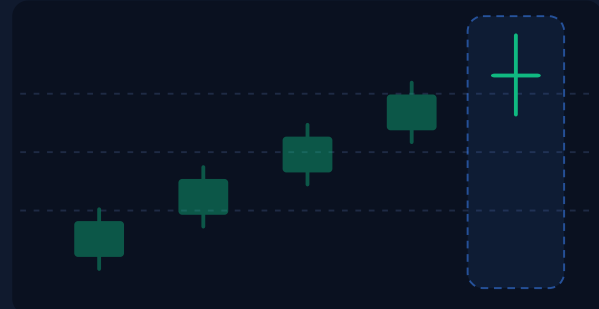
Neither side won. Momentum may be slowing.

CONFIRMATION TO LOOK FOR

Wait for the next candle to show which side takes control.

Doji

INDECISION



WHAT IT LOOKS LIKE

Open and close are almost the same price, so the body is a thin line.

WHAT IT MAY SUGGEST

Indecision. Buyers and sellers ended the period in balance.

CONFIRMATION TO LOOK FOR

A doji after a strong trend is more meaningful. Wait for the next candle.

The Doji family

All doji candles have a very small body. Where the body sits, and how long the wicks are, changes the story.

Long-Legged Doji

INDECISION



WHAT IT LOOKS LIKE

Very long upper and lower wicks with a tiny body in the middle.

WHAT IT MAY SUGGEST

Strong swings both ways, but price closed where it opened. High uncertainty.

CONFIRMATION TO LOOK FOR

Treat it as a pause. The next candle shows direction.

Dragonfly Doji

BULLISH REVERSAL



WHAT IT LOOKS LIKE

A long lower wick, no upper wick. Open and close are at the high.

WHAT IT MAY SUGGEST

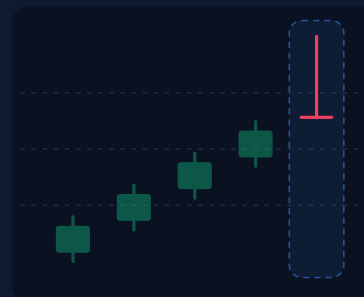
Sellers pushed price down, but buyers brought it all the way back.

CONFIRMATION TO LOOK FOR

After a downtrend, a green candle closing above the doji.

Gravestone Doji

BEARISH REVERSAL



WHAT IT LOOKS LIKE

A long upper wick, no lower wick. Open and close are at the low.

WHAT IT MAY SUGGEST

Buyers pushed price up, but sellers brought it all the way back.

CONFIRMATION TO LOOK FOR

After an uptrend, a red candle closing below the doji.

How to treat a doji

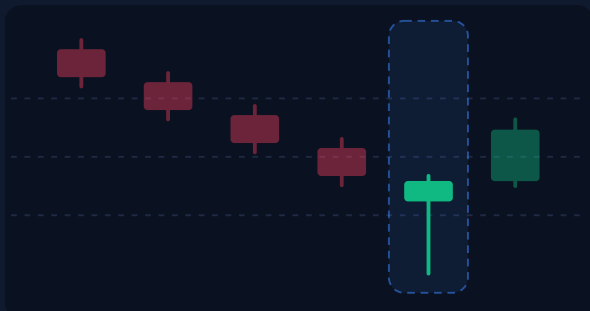
A doji is a question mark, not an answer. In a strong trend, one doji often just means a short pause. It becomes more interesting when it appears after a long move, at a known support or resistance level, and is followed by a candle that confirms a change in direction.

Hammer-type candles

Two shapes, four names: the trend before the candle decides which name applies. The faded candle after each pattern is an example of confirmation.

Hammer

BULLISH REVERSAL



WHAT IT LOOKS LIKE

Small body near the top, lower wick at least twice the body, little or no upper wick. Appears after a downtrend.

WHAT IT MAY SUGGEST

Sellers pushed price lower, but buyers rejected the low and closed near the high.

CONFIRMATION TO LOOK FOR

A green candle that closes above the hammer's body.

Hanging Man

BEARISH REVERSAL



WHAT IT LOOKS LIKE

Same shape as a hammer, but it appears after an uptrend.

WHAT IT MAY SUGGEST

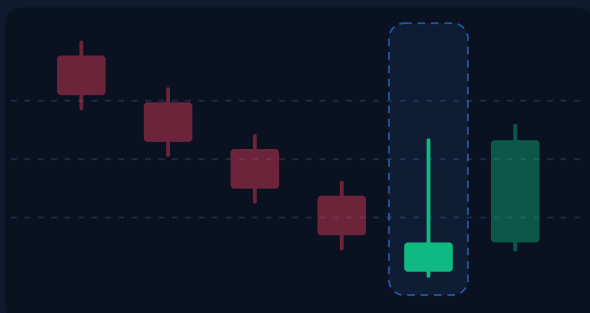
Sellers were able to push price well below the open. Buying pressure may be weakening.

CONFIRMATION TO LOOK FOR

A red candle that closes below the hanging man's body.

Inverted Hammer

BULLISH REVERSAL



WHAT IT LOOKS LIKE

Small body near the bottom, long upper wick, little or no lower wick. Appears after a downtrend.

WHAT IT MAY SUGGEST

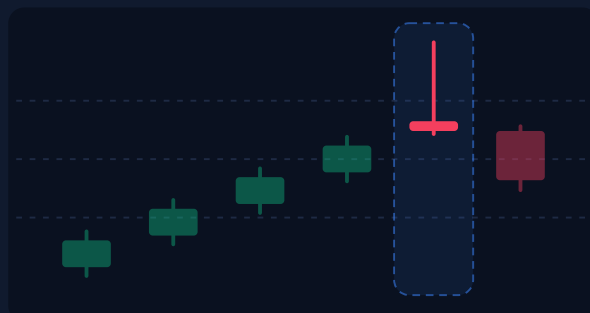
Buyers tried to push price higher. It is an early sign that sellers may be losing control.

CONFIRMATION TO LOOK FOR

A green candle that closes above the inverted hammer's body.

Shooting Star

BEARISH REVERSAL



WHAT IT LOOKS LIKE

Same shape as an inverted hammer, but it appears after an uptrend.

WHAT IT MAY SUGGEST

Buyers pushed price up, but sellers rejected the high and closed near the low.

CONFIRMATION TO LOOK FOR

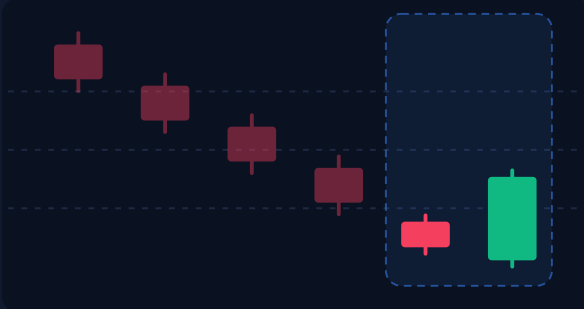
A red candle that closes below the shooting star's body.

Engulfing and Harami

Two-candle patterns compare one candle with the one before it. Engulfing patterns show a strong takeover. Harami patterns show momentum slowing down.

Bullish Engulfing

BULLISH REVERSAL



WHAT IT LOOKS LIKE

A small red candle, followed by a larger green candle whose body fully covers the red body.

WHAT IT MAY SUGGEST

Buyers took over completely from sellers within one period.

CONFIRMATION TO LOOK FOR

Follow-through buying, ideally near support, with rising volume.

Bearish Engulfing

BEARISH REVERSAL



WHAT IT LOOKS LIKE

A small green candle, followed by a larger red candle whose body fully covers the green body.

WHAT IT MAY SUGGEST

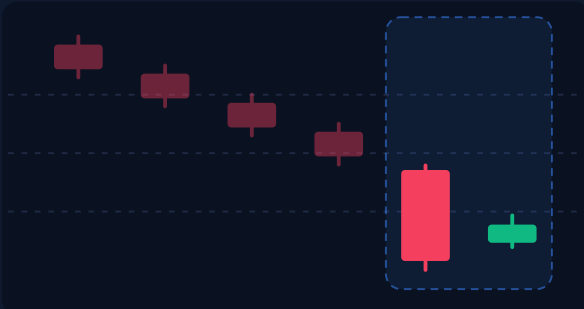
Sellers took over completely from buyers within one period.

CONFIRMATION TO LOOK FOR

Follow-through selling, ideally near resistance, with rising volume.

Bullish Harami

BULLISH REVERSAL



WHAT IT LOOKS LIKE

A large red candle, followed by a small green candle that sits inside the red body.

WHAT IT MAY SUGGEST

Selling momentum is slowing. Harami means "pregnant" in Japanese.

CONFIRMATION TO LOOK FOR

A green candle that closes above the first red candle's open.

Bearish Harami

BEARISH REVERSAL



WHAT IT LOOKS LIKE

A large green candle, followed by a small red candle that sits inside the green body.

WHAT IT MAY SUGGEST

Buying momentum is slowing.

CONFIRMATION TO LOOK FOR

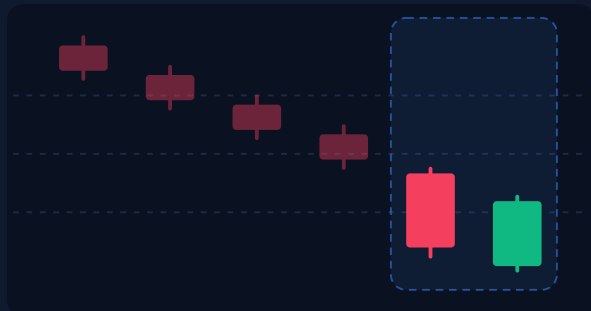
A red candle that closes below the first green candle's open.

Piercing, Dark Cloud and Tweezers

These patterns are similar to engulfing patterns, but the second candle only partly recovers, or two candles share the same high or low. In stock markets, the second candle often opens with a price gap. Crypto trades 24/7, so a new candle usually opens at the previous close, and on crypto charts these patterns are read by where the candle closes.

Piercing Line

BULLISH REVERSAL



WHAT IT LOOKS LIKE

A long red candle, then a green candle that opens lower and closes above the middle of the red body.

WHAT IT MAY SUGGEST

Sellers started strong, but buyers recovered more than half of the loss.

CONFIRMATION TO LOOK FOR

A further green close above the red candle's open.

Dark Cloud Cover

BEARISH REVERSAL



WHAT IT LOOKS LIKE

A long green candle, then a red candle that opens higher and closes below the middle of the green body.

WHAT IT MAY SUGGEST

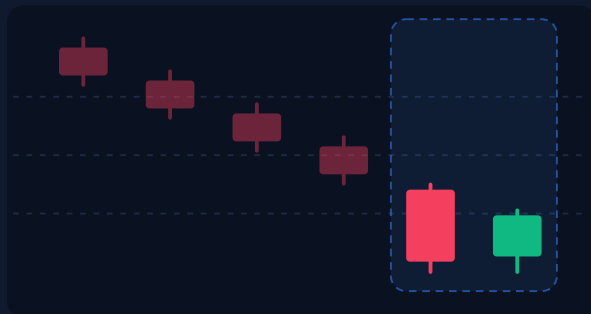
Buyers started strong, but sellers erased more than half of the gain.

CONFIRMATION TO LOOK FOR

A further red close below the green candle's open.

Tweezer Bottom

BULLISH REVERSAL



WHAT IT LOOKS LIKE

Two candles with matching (or almost matching) lows, after a downtrend. Usually red then green.

WHAT IT MAY SUGGEST

Price tested the same low twice and was rejected both times. Possible support.

CONFIRMATION TO LOOK FOR

Price moves up and away from the shared low.

Tweezer Top

BEARISH REVERSAL



WHAT IT LOOKS LIKE

Two candles with matching (or almost matching) highs, after an uptrend. Usually green then red.

WHAT IT MAY SUGGEST

Price tested the same high twice and was rejected both times. Possible resistance.

CONFIRMATION TO LOOK FOR

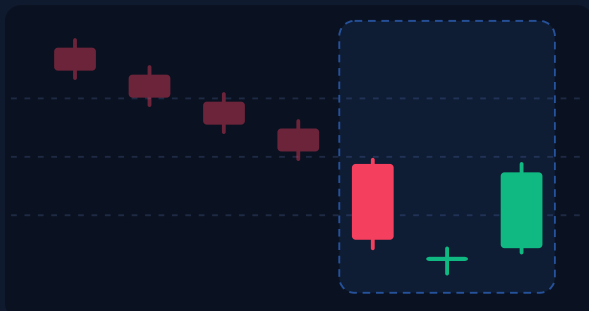
Price moves down and away from the shared high.

Three-candle patterns

Three-candle patterns take longer to form, so they show a change in behaviour over several periods rather than one.

Morning Star

BULLISH REVERSAL



WHAT IT LOOKS LIKE

A long red candle, a small-bodied candle (the star), then a long green candle closing above the middle of the first.

WHAT IT MAY SUGGEST

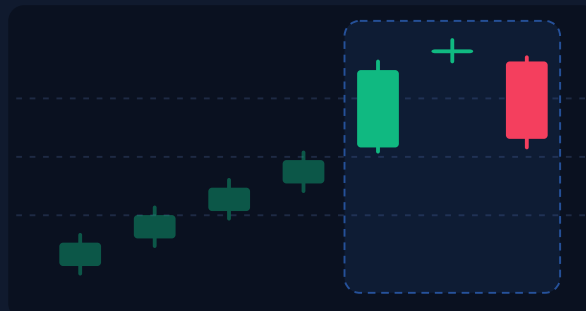
Selling slowed, paused, and then buyers took control.

CONFIRMATION TO LOOK FOR

The third candle is the confirmation. Watch for follow-through.

Evening Star

BEARISH REVERSAL



WHAT IT LOOKS LIKE

A long green candle, a small-bodied candle (the star), then a long red candle closing below the middle of the first.

WHAT IT MAY SUGGEST

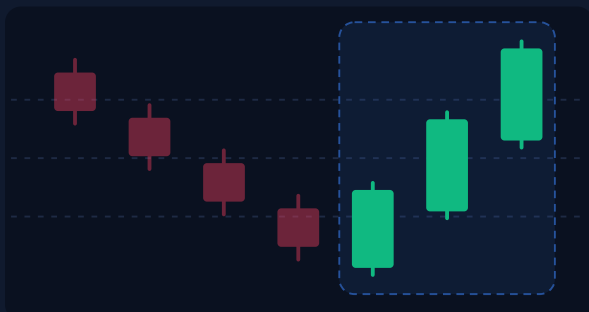
Buying slowed, paused, and then sellers took control.

CONFIRMATION TO LOOK FOR

The third candle is the confirmation. Watch for follow-through.

Three White Soldiers

BULLISH REVERSAL



WHAT IT LOOKS LIKE

Three long green candles in a row. Each opens inside the previous body and closes near its high.

WHAT IT MAY SUGGEST

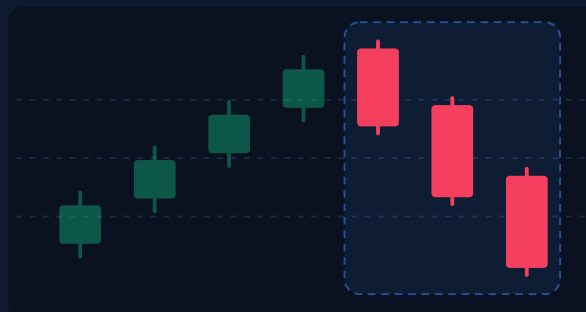
Steady, strong buying over three periods.

CONFIRMATION TO LOOK FOR

Holding gains afterward. Very stretched moves can pull back.

Three Black Crows

BEARISH REVERSAL



WHAT IT LOOKS LIKE

Three long red candles in a row. Each opens inside the previous body and closes near its low.

WHAT IT MAY SUGGEST

Steady, strong selling over three periods.

CONFIRMATION TO LOOK FOR

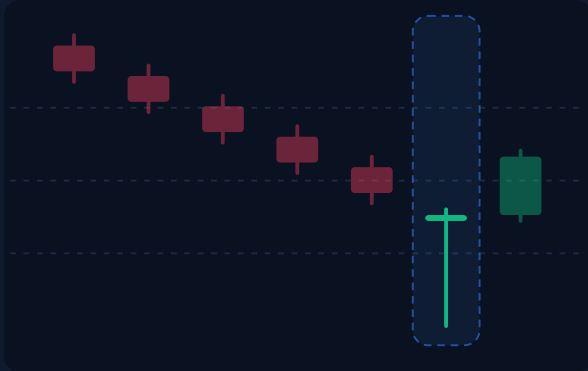
Holding losses afterward. Very stretched moves can bounce.

Context: where a pattern appears matters

The same candle can be meaningful in one place and meaningless in another. Context matters more than the candle shape.

Stronger setup

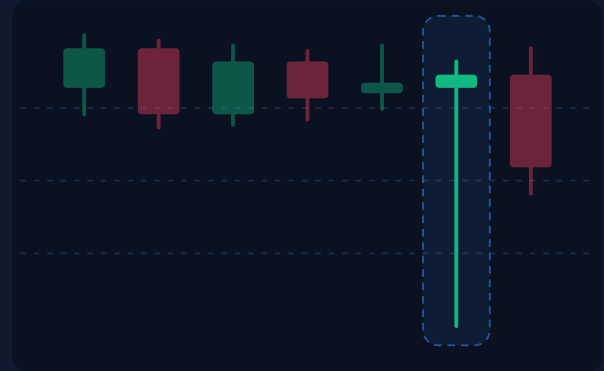
CLEAR CONTEXT



A hammer after a clear downtrend, followed by a green confirmation candle.

Weaker setup

NO CONTEXT



The same hammer in a sideways, choppy market. There is no trend to reverse, and the next candle fails.

Four things to check before trusting a pattern

1

The trend before it

Reversal patterns need something to reverse. A bullish reversal needs a downtrend before it, and a bearish reversal needs an uptrend.

2

Location on the chart

Patterns near support or resistance levels usually matter more than patterns in the middle of a range.

3

Confirmation

Wait for the next candle to close in the expected direction. Many patterns fail.

4

Timeframe and volume

Patterns on higher timeframes (4-hour, daily) are usually more reliable than on 1-minute charts. Higher volume adds weight.

Common beginner mistakes

Most beginners struggle with candlesticks for the same few reasons. Knowing them early will save you time and money.

01 Treating a pattern as a guarantee

No candlestick pattern works every time. Patterns describe what happened; they do not promise what happens next.

02 Ignoring the trend

A hammer in the middle of a sideways range is not the same as a hammer after a long decline.

03 Acting before the candle closes

A candle can change shape completely before it closes. A hammer at minute 50 can become a red marubozu by minute 60.

04 Using only very small timeframes

1-minute and 5-minute charts produce many patterns, and most of them are noise.

05 Memorising names instead of reading behaviour

If you understand bodies and wicks, you can read any candle, even one without a name.

06 Skipping risk management

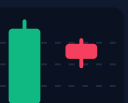
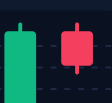
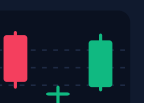
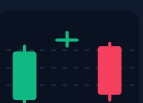
Even a good-looking setup can fail. Decide in advance how much you are willing to lose, and keep position sizes small while learning.

Remember

Candlestick patterns work best as one piece of evidence among several, together with trend, support and resistance, volume and a clear risk plan.

Quick-reference cheat sheet

All 23 candlestick types from this guide on one page. Save it, or print it and keep it next to your screen.

 Bullish Marubozu BULLISH STRENGTH 1 candle	 Bearish Marubozu BEARISH STRENGTH 1 candle	 Spinning Top INDECISION 1 candle
 Doji INDECISION 1 candle	 Long-Legged Doji INDECISION 1 candle	 Dragonfly Doji BULLISH REVERSAL 1 candle
 Gravestone Doji BEARISH REVERSAL 1 candle	 Hammer BULLISH REVERSAL 1 candle	 Hanging Man BEARISH REVERSAL 1 candle
 Inverted Hammer BULLISH REVERSAL 1 candle	 Shooting Star BEARISH REVERSAL 1 candle	 Bullish Engulfing BULLISH REVERSAL 2 candles
 Bearish Engulfing BEARISH REVERSAL 2 candles	 Bullish Harami BULLISH REVERSAL 2 candles	 Bearish Harami BEARISH REVERSAL 2 candles
 Piercing Line BULLISH REVERSAL 2 candles	 Dark Cloud Cover BEARISH REVERSAL 2 candles	 Tweezer Bottom BULLISH REVERSAL 2 candles
 Tweezer Top BEARISH REVERSAL 2 candles	 Morning Star BULLISH REVERSAL 3 candles	 Evening Star BEARISH REVERSAL 3 candles
 Three White Soldiers BULLISH STRENGTH 3 candles	 Three Black Crows BEARISH STRENGTH 3 candles	

Practice plan and next steps

Reading candles is a skill. You build it through repetition, not memorisation.

1 Use a daily chart

Open a daily BTC or ETH chart on any free charting platform. Daily candles are slower and clearer than short timeframes.

2 Read 20 candles a day

For each candle, ask: which way did it close, how big is the body, where are the long wicks?

3 Find three patterns

Scroll back through history and find three patterns from this guide. Note what happened in the next five candles.

4 Keep a simple journal

Write down each pattern, its context and the outcome. Over time you will see which ones are useful and which ones often fail.

KEEP LEARNING

More free lessons on bassammalik.com

Chart timeframes, technical analysis, risk management and more, written for beginners.

Disclaimer

This guide is for educational purposes only and is not financial advice. Cryptocurrency trading involves significant risk, and prices can be highly volatile. Candlestick patterns do not guarantee future price movements. Always do your own research, never invest more than you can afford to lose, and consider speaking with a qualified financial professional before making any investment decisions.